

AI for Holistic Development

India can emerge as the global leader in harnessing AI to power socio-economic development in its centenary of Independence



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AS 2047, THE centenary of India's century of Independence draws closer, the dream of a fully developed economy and sustainable, inclusive growth seems to be taking shape. What role could artificial intelligence, or AI, play in this India?

The poster child of technology for the past decade and becoming increasingly accessible to all, AI holds the promise of new economic opportunities, the potential to improve welfare services in healthcare and education for every Indian, and the allure of India emerging as the provider of AI to the world.

This could be a natural progression from India's current dominance worldwide in the information technology and business process management (IT-BPM) sector.

A cornerstone of the economy, the sector employed over 5.4 million people in 2022-23 and has captured more than 30% of the global outsourced BPM market. Likewise, digital technologies have unlocked a booming start-up and digital business ecosystem in India. The country's unique national-scale digital infrastructure

has paved the way for greatly inclusive financial services.

AI has already carved out its presence as an important theme in global forums, boardroom discussions, and political discourse.

It is enabling higher efficiencies in manufacturing for better yield, throughput, and optimal energy use. It is enabling the right products to be present at the right place and showcased to customers most likely to be interested in them.

AI models are aiding research and development (R&D) for precision in agriculture, weather forecasting (and climate change), and drug discovery.

The emergence of Generative AI (Gen AI) opens new frontiers—with a call for purposeful innovation across public and private sectors, and in academia, as well as persistent efforts to deploy technology at scale.

A McKinsey research estimates that Gen AI by itself could create \$2.6-4.4 trillion in value across industries.

India has the capacity to raise its global share in the Software-as-a-Service (SaaS) market—from 1% to 6%—through strategic steps such as cultivating a digitally skilled workforce, fostering a robust research and development ecosystem, and scaling up domestic SaaS companies.

AI can be an important source of livelihood for much of India's working-age population, which